Public Disclosure Authorized

Public Disclosure Authorized

Public Disclosur

YEMEN ECONOMIC MONITOR

Pushing Against the Tide



Spring 2026

PROSPERITY
Middle East and North Africa
THE WORLD BANK

Yemen Economic Monitor

Pushing Against the Tide

Spring 2026

Global Practice for Economic Policies

Middle East, North Africa, Afghanistan & Pakistan

© 2026 International Bank for Reconstruction and Development/The World Bank
1818 H Street NW
Washington DC 20433
Telephone: 202-473-1000
Internet: www.worldbank.org

This work is a product of the staff of The World Bank. The findings, interpretations, and conclusions expressed in this work do not necessarily reflect the views of The World Bank, its Board of Executive Directors, or the governments they represent.

The World Bank does not guarantee the accuracy, completeness, or currency of the data included in this work and does not assume responsibility for any errors, omissions, or discrepancies in the information, or liability with respect to the use of or failure to use the information, methods, processes, or conclusions set forth. The boundaries, colors, denominations, and other information shown on any map in this work do not imply any judgment on the part of The World Bank concerning the legal status of any territory or the endorsement or acceptance of such boundaries.

Nothing herein shall constitute or be construed or considered to be a limitation upon or waiver of the privileges and immunities of The World Bank, all of which are specifically reserved. Rights and Permissions This work is available under the Creative Commons Attribution 3.0 IGO license (CC BY 3.0 IGO) http://creativecommons.org /licenses/by/3.0/igo.

All queries should be addressed to the lead author, at: gmele@worldbank.org.

Rights and Permissions

The material in this work is subject to copyright. Because The World Bank encourages dissemination of its knowledge, this work may be reproduced, in whole or in part, for noncommercial purposes as long as full attribution to this work is given.

Any queries on rights and licenses, including subsidiary rights, should be addressed to World Bank Publications, The World Bank Group, 1818 H Street NW, Washington, DC 20433, USA; fax: 202-522-2625; e-mail: pubrights@worldbank.org.

Cover photos courtesy of:
(top) *Old city of Sana'a, Yemen*. Credit: Oleg Znamenskiy / Shutterstock
(center, left) *Destructive – schools, Yemen*. Credit: anasalhajj / Shutterstock
(center, right) *Harbor in Aden, Yemen*. Credit: Judith Lienert / Shutterstock
(bottom) *Food market in Sana'a, Yemen*. Credit: ymphotos / Shutterstock
Further permission required for reuse.

Publication design and layout by The Word Express, Inc.

TABLE OF CONTENTS

Acronyms & Abbreviations. v
Preface vii
Executive Summary ix

1. Recent Developments 1
A. Real Sector. 1
B. Public Finance Developments. 3
C. External Sector Developments 4
D. Monetary Policy and Inflation 7

2. Outlook and Risks 11
A. Regional Developments. 11
B. Potential Impacts of the Conflict in the Middle East on Yemen 11
C. Policy Response by the Government. 17
D. Policy Recommendations 17

List of Figures

Figure 1.1 Red Sea Houthi Attacks on Vessels Declined Following the October 2025 Gaza Ceasefire 2
Figure 1.2 Precarious Income Sources Predominate among Households 3
Figure 1.3 IRG Fiscal Revenues Declined in 2025 3
Figure 1.4 IRG Reduced Fiscal Expenditure in 2025 4
Figure 1.5 Exports in 2025 Remain Far Below pre-Blockade Levels 5
Figure 1.6 Overall Import Volumes Contracted in 2025. 5
Figure 1.7 Fuel Imports Fell More Sharply through Red Sea Ports 5
Figure 1.8 Food Imports Fell at Red Sea Ports Only 5
Figure 1.9 First Diversion of Imports Away from Houthi-Controlled Ports in 2025 6
Figure 1.10 Humanitarian Funding Hit its Lowest Coverage in 2025 6

Figure 1.11 Reserves Remained Below the One-Month Import Adequacy Threshold 7
Figure 1.12 The Rial Stabilized in the Second Half of the Year 7
Figure 1.13 Broad Money Contracted in H2-2025 8
Figure 1.14 Net Credit to Government Rose in 2025 8
Figure 1.15 The Cost of the MFB in IRG-Controlled Areas Fell Sharply after August 2025 Rial Appreciation 9
Figure 1.16 In USD, the Cost of the MFB in Houthi-Controlled Areas Remains Higher than in IRG 9
Figure 2.1 Traffic through Bab El-Mandeb Has Not Declined Further since the Current Conflict Began 12
Figure 2.2 Brent Crude Surged to Nearly USD 120 Per Barrel on International Markets 13
Figure 2.3 Food Imports Remained Resilient in Early 2026 13
Figure 2.4 Fuel Imports Hit a Low in March 2026 13
Figure 2.5 The Yemeni Rial Has Remained Relatively Stable on Both Aden and Sana'a Markets 14
Figure 2.6 ODA is Expected to Decline Further in 2026 15
Figure 2.7 Real GDP and GDP Per Capita are Expected to Continue Declining 16

List of Tables

Table 1.1 Selected Economic Indicators (2020–2025) 9

ACRONYMS & ABBREVIATIONS

ACAPS	Assessment Capacities Project
AIS	Automatic Identification Signals
CBY	Central Bank of Yemen
FAO	Food and Agriculture Organization
FEWS NET	Famine Early Warning Systems Network
FTO	Foreign Terrorist Organization
FX	Foreign Exchange
GCC	Gulf Cooperation Council
GDP	Gross Domestic Product
HRP	Humanitarian Response Plan
IMF	International Monetary Fund
IRG	Internationally Recognized Government
JMMI	Joint Market Monitoring Initiative
LDC	Least Developed Country
MENAAP	Middle East, North Africa, Afghanistan and Pakistan
MFB	Minimum Food Basket
MOF	Ministry of Finance
NCRFI	National Committee for the Regulation and Financing of Imports
OCHA	United Nations Office for the Coordination of Humanitarian Affairs
ODA	Official Development Assistance
OECD	Organization for Economic Co-operation and Development
PLC	Presidential Leadership Council
REACH	One of three IMPACT initiatives focused on strengthening evidence-based humanitarian decision-making through efficient data collection, management, and analysis before, during, and after emergencies
STC	Southern Transitional Council
TEU	Twenty-foot Equivalent Unit
UN	United Nations
USAID	United States Agency for International Development
USD	United States Dollar
WB	World Bank
WFP	World Food Programme
YER	Yemeni Rial
YETI	Yemen Economic Transformation Index

PREFACE

The *Yemen Economic Monitor* provides an update on key economic developments and policies over the past six months.[1] It also presents findings from recent World Bank analytical work on Yemen. The *Monitor* places these developments, policies, and findings in a longer-term and global context and assesses their implications for Yemen's outlook. Its coverage ranges from the macro economy to financial markets to human welfare and development indicators. It is intended for a wide audience, including policy makers, development partners, business leaders, financial market participants, and the community of analysts and professionals engaged in Yemen.

The *Yemen Economic Monitor* is a product of the World Bank's Yemen Economic Policies team. This issue was prepared by Yasmine Osman (Country Economist) and Mohammad Al Akkaoui (Consultant), with contributions from Alia Aghajanian (Senior Economist).

The *Yemen Economic Monitor* has been completed under the guidance of Stephane Guimbert (Division Director), Dina Abu-Ghaida (Country Manager), Jasmin Chakeri (Practice Manager), and Miguel Eduardo Sanchez Martin (Lead Ećonomist).

The findings, interpretations, and conclusions expressed in this *Monitor* are those of World Bank staff and do not necessarily reflect the views of the Executive Board of The World Bank or the governments they represent.

For questions and comments on the content of this publication, please contact Yasmine Osman (yosman@worldbank.org). Nabeel Darweesh (External Affairs Officer) is the lead on communications, outreach, and publishing. To be included on an email distribution list for this or other related publications and for questions from the media, please contact him at ndarweesh@worldbankgroup.org. For information about the World Bank and its activities in Yemen, including e-copies of this publication, please visit www.worldbank.org/en/country/yemen.

[1] Analysis presented in this edition reflects the situation as of end-March 2026. Events occurring after this cutoff date are not included.

EXECUTIVE SUMMARY

Yemen's economy contracted again in 2025. National real GDP contracted for a third consecutive year in 2025, falling by 1.5%.[2] Oil activity remained stagnant under the export blockade, while the non-oil economy stayed under strain from a weak business environment and tight liquidity. In Internationally Recognized Government (IRG)-controlled areas, inflation averaged roughly 20%, eroding household purchasing power; in Houthi-controlled areas, damage to Hodeidah port constrained imports and market supply. Humanitarian financing also deteriorated: World Food Program (WFP) suspended operations in Houthi-controlled areas in August 2025 following the detention of United Nations (UN) staff, and the UN's 2025 response plan was only 29% funded, down from 55.5% in 2024.

The IRG's fiscal position deteriorated further in 2025. Revenues fell to 5.6% of GDP from 8.6% in 2024, largely due to a decline of grants, which dropped from 3.6 to 0.8% of GDP as Saudi support tapered prior to recovering in early 2026. Expenditures were compressed to 6.1% of GDP, disrupting service delivery, while capital spending was nearly eliminated, falling to 0.2% of GDP. The fiscal deficit remained contained at 0.5% of GDP.

Monetary and financial fragmentation persisted. In August 2025, the Yemeni rial in Aden appreciated sharply from YER 2,905 per US$1 in mid-July to about YER 1,600 per US$1, and has since stabilized. This reflects measures by the Central Bank of Yemen (CBY) in Aden, including caps on foreign-currency access, a ban on using foreign currency in local transactions, and license revocations for exchange houses suspected of manipulation, as well as foreign exchange (FX) inflows, including Saudi budget support and the release of US$45 million of CBY deposits. The National Committee for the Regulation and Financing of Imports (NCRFI) continued prioritizing FX for essential goods, while Saudi financial support announcements helped anchor confidence. Sustaining these gains will require adequate reserves and disciplined fiscal policy, particularly given that the underlying fundamentals—remittances, exports, and aid—remain fragile. Net CBY-Aden claims on the government rose at end-2025, likely reflecting year-end fiscal pressures and represents a key source of monetary risk going forward. In Houthi-controlled areas, the rial has been held near YER 535 per US$1 through constrained money supply, enforced official rates, and price controls. The local economy remains largely cash-based, liquidity shortages are intensifying, and

[2] World Bank GDP estimates are calculated at the national level, covering the entire territory across both IRG- and Houthi-controlled areas.

financial institutions are increasingly relocating from Sana'a to Aden amid elevated sanctions risk following the US Foreign Terrorist Organization redesignation of the Houthi movement in early 2025.

External imbalances narrowed but remained substantial. Yemen's current account deficit is estimated at 14.7% of GDP in 2025, down from 26.6% in 2024, driven primarily by import compression in Houthi-controlled areas rather than export-led improvement. Gross foreign exchange reserves recorded by CBY-Aden stood at approximately US$1.2 billion, covering roughly one month of imports.

Economic prospects for 2026 remain subdued. With IRG oil exports still blocked and institutional fragmentation persisting, public finances and the external position are expected to remain under strain, even as revenue recovers due to the IRG's mobilization efforts and increased Saudi grants. As a net oil and food importer, Yemen is particularly vulnerable to spillovers from the conflict in the Middle East: rising global energy and food prices are projected to weigh on the import bill, fiscal balance, and household purchasing power, compounding already severe levels of food insecurity. As of February 2026, 57% of households had inadequate food consumption, a level that, despite improving from the all-time high recorded in June 2025, remains a serious concern. Exchange rate stability in Aden will depend on continued enforcement of money exchange regulations and sustained external inflows supporting foreign exchange availability. Acute liquidity constraints, particularly in Houthi-controlled areas, will continue to suppress consumption and private sector activity. National real GDP is projected to contract by 0.5% in 2026.

Downside risks are elevated. Large-scale Houthi involvement triggering retaliatory strikes on critical infrastructure, a sustained surge in oil prices, or a sharp depreciation of the rial could push the economy into a far more severe contraction than currently projected. In such a scenario, rising inflation, import compression, and eroding remittance and aid flows could rapidly overwhelm the limited coping capacity of Yemeni households. Domestic frictions could further deepen monetary and financial fragmentation. Humanitarian operations are unlikely to return to previous levels given funding shortfalls and operational constraints in Houthi-controlled areas, increasing the likelihood that poverty and vulnerability remain widespread in the absence of a broader de-escalation in conflict.

Beyond the direct economic channels described above, a prolonged or widening conflict carries broader systemic risks. Deteriorating security conditions could deter the external financing and donor engagement on which Yemen's fiscal position almost entirely depends, while making humanitarian operations increasingly difficult to sustain. Any further delay to the peace process would not only prolong economic hardship, with oil exports remaining halted, but risk entrenching the structural fragilities that have defined Yemen's economy for over a decade.

The new IRG Cabinet's reform commitments in early 2026 offer a window of opportunity, but one that will require concrete follow-through and sustained donor support to translate into meaningful change. If the new cabinet prioritizes development and macroeconomic stabilization, livelihoods and living conditions could improve. The fiscal environment remains severely constrained, with public finances and living standards bearing the combined weight of prolonged conflict, external shocks, and inflation. The central government has grown increasingly dependent on external grants to bridge budget shortfalls—a pattern that cannot serve as a reliable long-term solution. This points to an urgent need to develop more resilient and diversified domestic revenue streams, though without a meaningful recovery in economic activity, progress toward a more stable fiscal footing is likely to remain elusive. Ultimately, the country's prospects hinge on progress toward national peace, reconstruction, and institutional reforms to restore confidence and reignite growth.

1

RECENT DEVELOPMENTS[3]

A. Real Sector

Yemen's economy contracted for a third consecutive year in 2025. National real GDP declined by an estimated 1.5%, as persistent conflict, institutional fragmentation, and a continued blockade on oil exports weighed on aggregate output. Oil sector activity remained stagnant, while the non-oil economy faced headwinds from constrained liquidity, a deteriorated business environment, and suppressed domestic demand.

In IRG-controlled areas, economic conditions were volatile throughout 2025. The exchange rate came under severe pressure in the first half of 2025, with the Yemeni rial depreciating substantially against the U.S. dollar, driving up import costs and consumer prices. The minimum food basket cost rose by 26% year on year by mid-2025, compressing real household incomes. Fiscal revenues remained severely constrained by the Houthi blockade on oil exports, limiting the IRG's capacity to service public sector wage bills and sustain basic expenditures. On the supply side, exchange rate pass-through raised the cost of imported inputs, undermining the competitiveness of domestic producers and disrupting supply chains, while chronic fuel shortages reduced electricity availability and added to production costs. In August, the Aden-based Central Bank intervened with a package of monetary stabilization measures that reversed the depreciation of the rial and contributed to a partial easing of inflationary pressures.

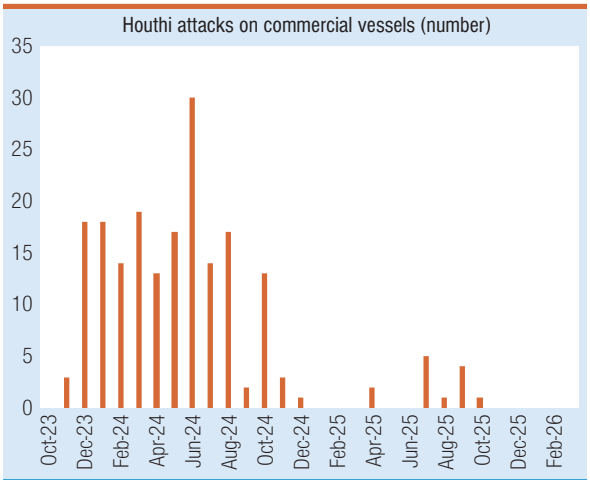
A brief episode of political instability in late 2025 introduced short-term uncertainty in IRG-controlled areas, though its economic impact appears to have been limited. The disruption was triggered by the Southern Transitional Council's (STC) seizure of eastern governorates in early December and was contained within approximately two weeks following a Saudi-backed Presidential Leadership Council (PLC) military response. The episode prompted meaningful institutional restructuring: a new IRG cabinet was formed in February 2026 and military command was consolidated across IRG territory, developments that point toward greater governance cohesion.

[3] This chapter covers developments through 2025.

In Houthi-controlled areas, the economic and humanitarian situation deteriorated markedly in 2025. Severe liquidity shortages, cash withdrawal restrictions, and largely absent formal credit compressed household and business spending, while irregular and often unpaid public sector wages further eroded disposable incomes and weighed on aggregate demand. The U.S. re-designation of the Houthis as a Foreign Terrorist Organization (FTO) in early 2025 deepened financial sector fragmentation, with institutions increasingly relocating from Sana'a to Aden amid elevated sanctions risk, severing correspondent banking relationships. This migration has compounded the Central Bank's challenges in conducting effective monetary policy: with banking activity increasingly concentrated in Aden, populations in Houthi-controlled areas are left with even more limited access to formal financial services, further fragmenting the monetary transmission mechanism and undermining the Central Bank's ability to manage monetary stability and contain inflation. On the trade side, Israeli airstrikes on Hodeidah port reduced import capacity significantly, tightening the supply of food, fuel, and essential commodities. Humanitarian transfers also contracted: a reduction in U.S. aid funding, combined with a drawdown of UN operations following the arbitrary detention of UN staff by the Houthi movement, reduced the volume of assistance reaching vulnerable households.

Maritime security in the Red Sea deteriorated before showing signs of stabilization. The Red Sea has been in turmoil since October 7, 2023, with Houthi attacks remaining a major driver of insecurity. While attacks on commercial vessels dropped significantly in 2025, falling to just 7 from 150 in 2024 (Figure 1.1), the Houthi movement intensified strikes on Israeli soil, carrying out 125 attacks in 2025, a 120% increase from 2024.[4] These attacks continued until the Israel-Hamas ceasefire in October 2025. Following the ceasefire, the Red Sea has been largely quiet, marking the longest sustained pause in hostilities since the crisis began in late 2023. However, the durability of this lull remains uncertain, particularly given the Houthis' direct re-engagement in the broader Middle East conflict in late February 2026 (see Outlook).

FIGURE 1.1 • Red Sea Houthi Attacks on Vessels Declined Following the October 2025 Gaza Ceasefire



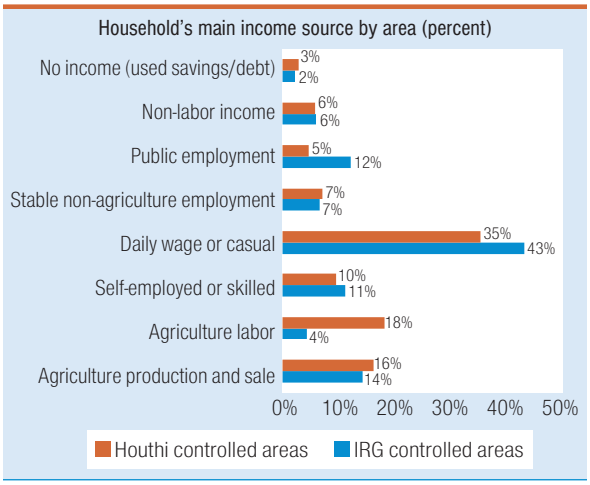
Sources: ACLED.

Food insecurity remains severe and in 2025 reached its highest level on record. According to the WFP, the share of households facing inadequate food consumption fell from the highest recorded level of 70% in July 2025 to 64% in December, following a decline in the cost in the minimum food basket in IRG-controlled areas beginning in August. In January 2026, the Famine Early Warning Systems Network (FEWS NET) ranked Yemen among the most food-insecure countries globally. These outcomes reflect income losses from conflict and climate hazards, combined with reduced humanitarian assistance, particularly in Houthi-controlled areas. Model-based estimates indicate that nearly three-quarters of the population live below the monetary poverty line.

Phone survey data reveal the precariousness of household livelihood and income sources across Yemen. Daily wage and casual employment remain the most common household income source, supporting approximately 35% to 43% of households (Figure 1.2). Public sector employment is notably more prevalent in IRG-controlled areas (12%) compared to Houthi-controlled areas (5%). Agricultural labor serves as a vital lifeline in Houthi-controlled regions,

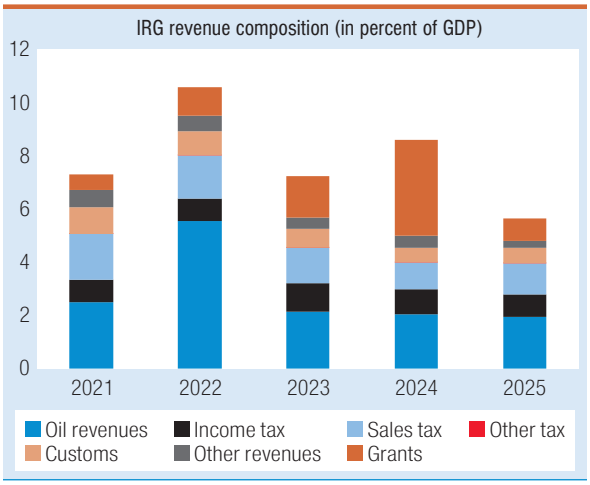
[4] "Regional power struggles fuel simmering tensions across the Red Sea", ACLED, December 2025 (link).

FIGURE 1.2 • Precarious Income Sources Predominate among Households



Source: FAO GeoPoll Phone survey, October 2025.

FIGURE 1.3 • IRG Fiscal Revenues Declined in 2025



Source: MOF; WB staff calculations.

where nearly one in five households depends on it, compared to fewer than 5% of IRG-controlled areas. However, with almost half of the Yemeni population living in areas exposed to extreme climate hazards—including extreme heat, flooding, and drought—agriculture cannot be considered a reliable income source.[5] Non-labor income, including remittances and humanitarian aid, provides crucial support to many households, particularly in IRG-controlled areas where it accounts for 6% of income sources, a reduction from June 2025 when it was 9%. Yet these flows could diminish further in the near term, given the fragile and uncertain regional context. Taken together, these findings underscore Yemen's persistent economic fragility and highlight the urgent need for diversified livelihood opportunities and strengthened social protection systems.

B. Public Finance Developments[6]

The IRG's fiscal position deteriorated further in 2025.[7] According to data from Aden's Ministry of Finance (MOF) and World Bank staff estimates, revenues fell sharply to 5.6% of GDP from 8.6% in 2024 (Figure 1.3). This decline was largely driven by a contraction in grants from 3.6 to 0.8% of GDP as Saudi support tapered off before recovering in early 2026. It was further compounded by the Houthi movement's ongoing blockade on oil exports, which effectively eliminated a key source of fiscal revenue, leaving only receipts from domestic oil production.

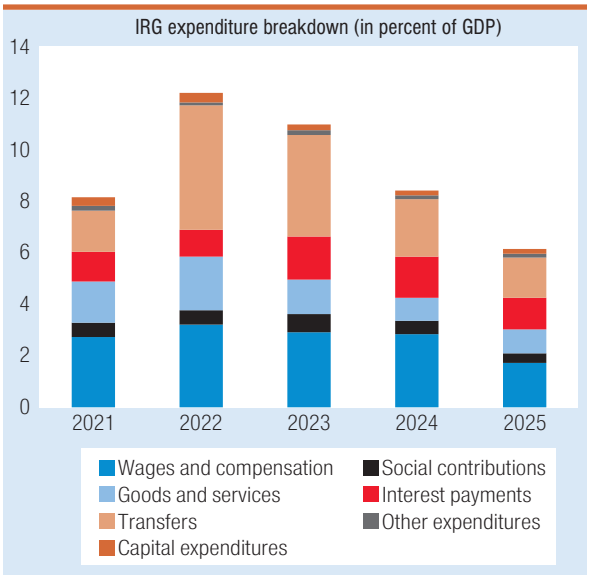
In response, the IRG implemented significant spending cuts, with a disproportionate share of the adjustment falling on civil servants' payments. Total expenditure fell to 6.1% of GDP in 2025, down from 8.4% in 2024. However, these reductions partly mask deferred obligations. The largest reduction was in the wage bill, which contracted 1.1 percentage points (pp) of GDP, driven by the suspension of civil servant payments for several months, a measure that accumulates arrears rather than resolves fiscal pressures, with adverse consequences for household incomes and the continuity of public service delivery. Similarly, the substantial cut in electricity subsidies (–0.8 pp) risks transferring financial stress onto the utility sector. These were followed by reductions

[5] Yemen Country Climate and Development Report, World Bank, 2024 (link).

[6] The following figures only reflect the fiscal position of IRG and do not encompass areas controlled by the Houthi movement, which is understood to operate a balanced cash-based budget system.

[7] IRG revenue data are reported on an accrual basis except for oil revenues, which are recorded on a cash basis.

FIGURE 1.4 • IRG Reduced Fiscal Expenditure in 2025



Source: MOF; WB staff calculations.

in interest payments (–0.4 pp), while capital spending remained broadly stagnant (Figure 1.4). In structural terms, the 2025 spending envelope remained heavily skewed toward current expenditure, with wages accounting for 28% of total spending, subsidies 32%, interest payments 20%, and goods and services 15%, leaving only 3% for capital investment. These patterns underscore the rigidity of the spending structure, with the bulk of resources locked into recurrent items and little to no room for infrastructure, development, or responsive fiscal measures.

While expenditure cuts helped contain fiscal pressures, declining revenues more than offset these gains, ultimately driving a substantial widening of the deficit. On a cash basis, the fiscal balance shifted from a small surplus of 0.2% of GDP in 2024 to a deficit of around 0.5% of GDP in 2025. This figure excludes arrears owed to public contractors; on an accrual basis, the deficit would be considerably larger.

Yemen's public finances face deep-rooted structural challenges that continue to erode their long-term sustainability. The fiscal environment is severely constrained, with public accounts and living standards bearing the combined weight of prolonged conflict, external shocks, and persistent inflation. Adding to these pressures, a growing number of governorates are retaining tax and customs revenues rather than remitting them centrally, resulting in a significant accumulation of unsettled receipts. This trend has disrupted essential public service delivery and raised serious questions about the transparency and accountability of the revenue administration. Consequently, the central government has grown increasingly dependent on external grants to bridge budget shortfalls, a pattern that is fiscally unsustainable and cannot serve as a reliable long-term solution. The situation points to an urgent need to develop more resilient and diversified domestic revenue streams. Yet, without a meaningful recovery in economic activity, progress toward a more stable fiscal footing is likely to remain elusive.

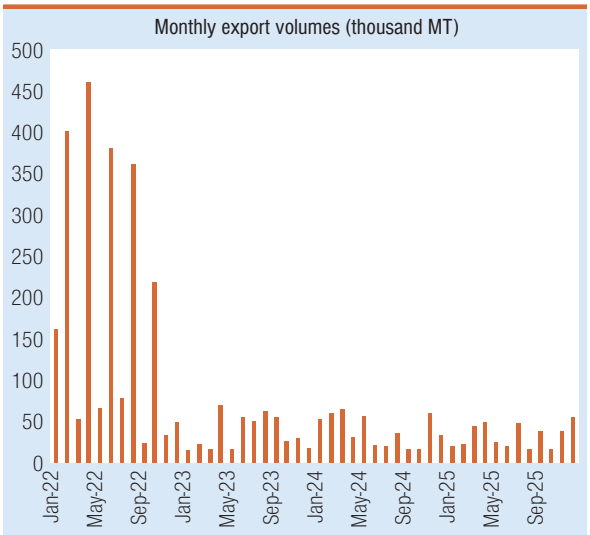
Against this challenging backdrop, the IRG has nonetheless demonstrated a commitment to fiscal planning by preparing a national budget for 2026. This effort is notable, given the severity of the constraints under which the authorities are operating and reflects a continued determination to maintain basic institutions of public financial management. The budget articulates a reform agenda and sets out the government's fiscal priorities, sending an important signal to both domestic stakeholders and international partners. While significant challenges remain, especially around revenue mobilization and reliance on external support, the exercise underscores the IRG's recognition that fiscal discipline and transparency are essential foundations for long-term stability.

C. External Sector Developments[8]

Export activity remained depressed in 2025. According to IMF Port Watch data, Yemen's seaborne exports totaled approximately 392,000 metric tons (MT) in 2025, a 15% decline from 463,000 MT in 2024 (Figure 1.5). The medium-term picture is stark: exports

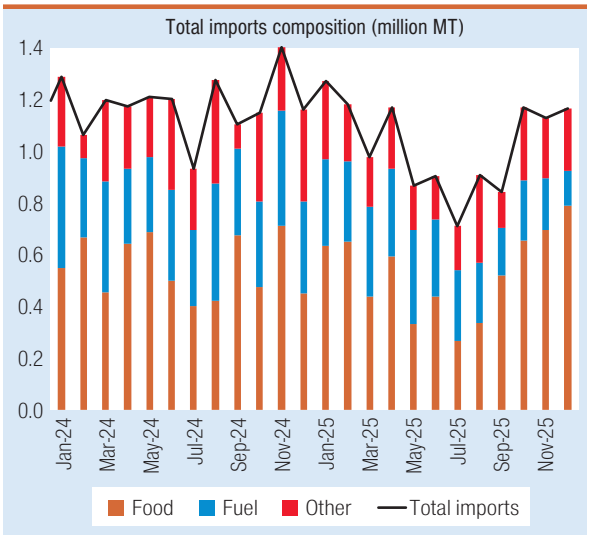
[8] Note that the following figures reflect external accounts for the whole of Yemen.

FIGURE 1.5 • Exports in 2025 Remain Far Below pre-Blockade Levels



Source: IMF Port Watch.

FIGURE 1.6 • Overall Import Volumes Contracted in 2025

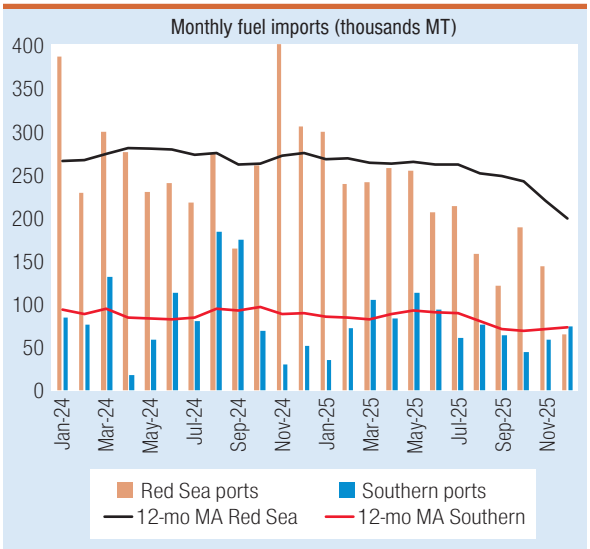


Source: ACAPS – YETI and WB staff calculations.

have plummeted 83% compared to the 2022 baseline of 2.29 million MT, reflecting the cumulative toll of the oil export blockade. With oil exports generating no foreign exchange since late 2022, Yemen has lost a primary source of hard currency. Despite depreciation in the first half of 2025, non-oil exports did not experience a significant boost, constrained by limited production capacity.

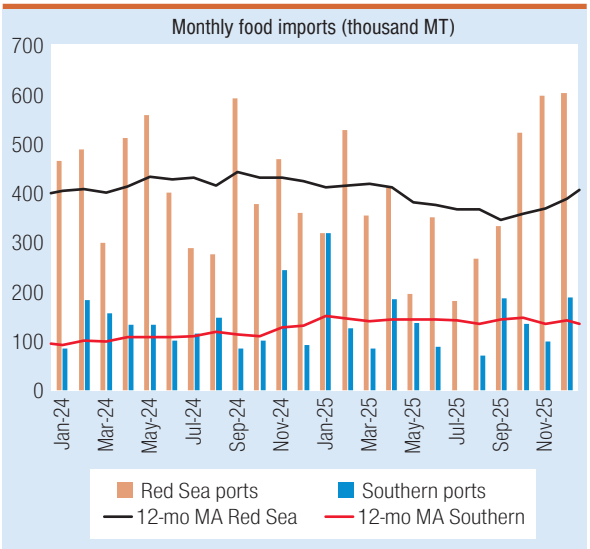
Imports contracted by a similar magnitude. According to data from the Assessment Capacities Project (ACAPS), import volumes declined by approximately 13% in 2025 compared to 2024 (Figure 1.6). The contraction was driven primarily by a sharp fall in fuel imports (–25%) across both Red Sea and IRG-controlled ports, with food imports also declining (–4%) through Red Sea ports (Figures 1.7 & 1.8).

FIGURE 1.7 • Fuel Imports Fell More Sharply through Red Sea Ports



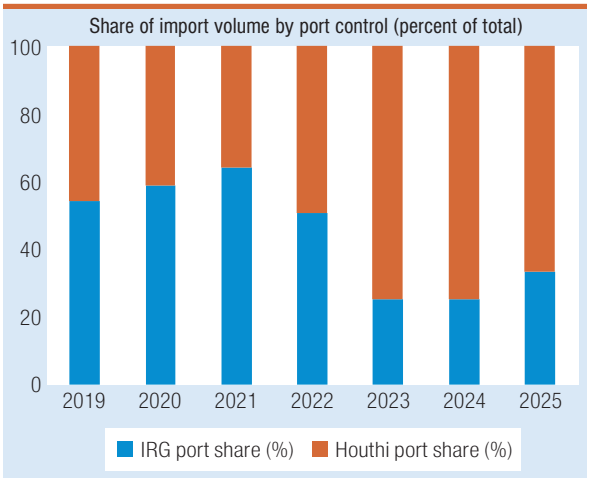
Source: ACAPS – YETI and WB staff calculations.

FIGURE 1.8 • Food Imports Fell at Red Sea Ports Only



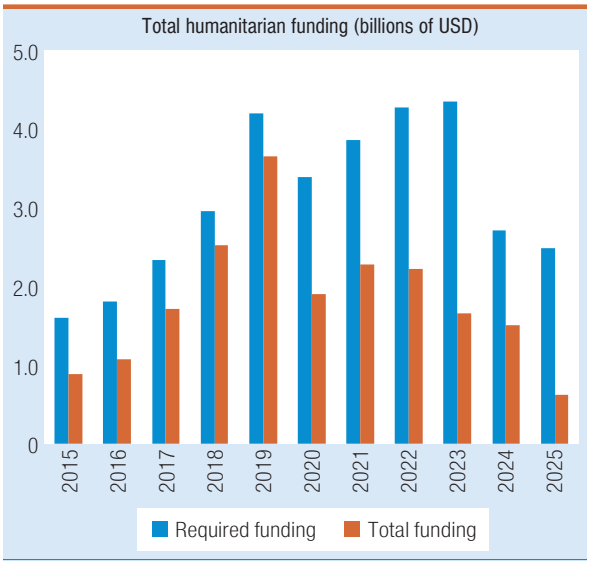
Source: ACAPS – YETI and WB staff calculations.

FIGURE 1.9 • First Diversion of Imports Away from Houthi-Controlled Ports in 2025



Source: ACAPS YETI, and WB staff calculations.
Note: IRG-controlled ports (blue shades): Aden and Al Mukalla; Houthi controlled ports (orange shades): Hodeida, Ras Isa and Saleef.

FIGURE 1.10 • Humanitarian Funding Hit its Lowest Coverage in 2025



Source: MOF; WB staff calculations.

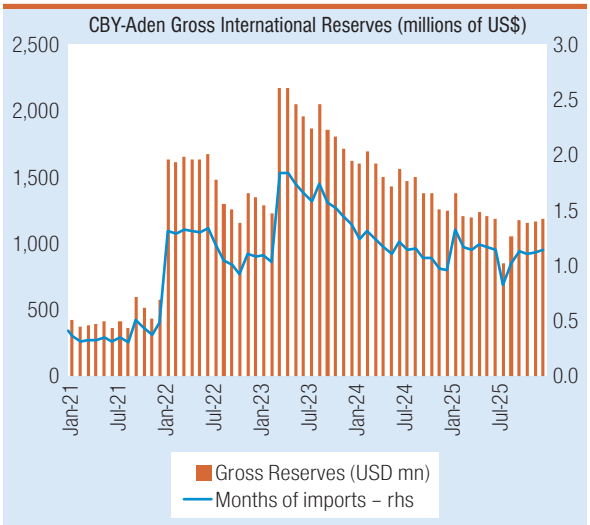
In Houthi-controlled areas, the decline reflected reduced port capacity, disrupted operations, and infrastructure damage from repeated strikes on Hodeida between May and July 2025, as well as attacks on Salif and other coastal locations. In IRG-controlled areas, the contraction was driven largely by lower fuel imports, contributing to prolonged power outages and worsening household hardship; food imports, by contrast, rose roughly 9%, partly reflecting exceptionally high volumes in January 2025.

Trade activity continued to shift away from Houthi-controlled ports in 2025. The share of imports passing through Houthi-controlled ports declined to an average of 67% in 2025, down from 75% in 2024—the first such diversion since the 2022 truce (Figure 1.9). This shift was driven by at least two concurrent factors: U.S. restrictions prohibiting petroleum imports via Houthi-held facilities (effective April 4, 2025) and infrastructure damage at Hodeida port following military strikes.

At the same time, declining international aid inflows, a key source of foreign exchange, removed an important buffer that had previously helped offset the loss of oil export earnings. he 2025 UN Humanitarian Response Plan (HRP) closed the year only 29% funded (approximately US$717.6 million of the US$2.48 billion required), down from 55.5% in 2024 (US$1.50 billion of US$2.71 billion required), and marking the lowest coverage ratio since at least 2015 (Figure 1.10). Official Development Assistance (ODA) is similarly expected to decline further globally in 2025, following a 9% drop in disbursements in 2024; the Organization for Economic Co-operation and Development (OECD) anticipates substantial reductions in global aid flows in 2025, with projected cuts between 9% and 18%, though official 2025 data have yet to be published.[9] Beyond these global trends, three factors have contributed to the particularly acute shortfall in Yemen: (i) the termination of USAID support in April 2025; (ii) operational

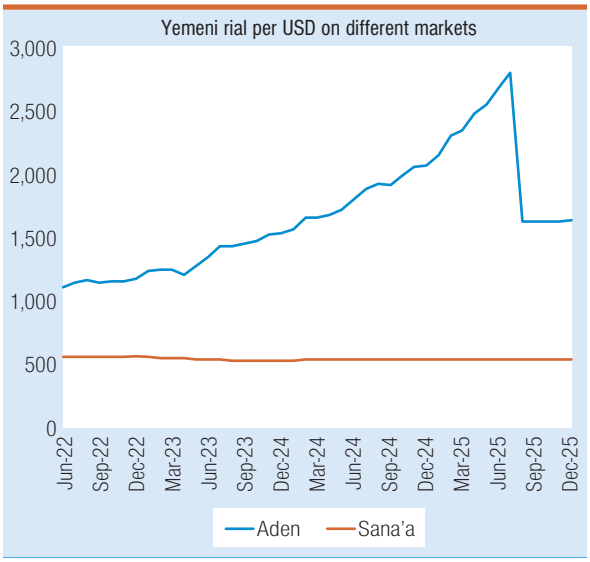
[9] "Cuts in official development assistance, OECD projections for 2025 and the near term", OECD, 26 June 2025 (link) and OECD ODA webpage (link). Eleven OECD DAC members, accounting for nearly three-quarters of total ODA in 2024, have publicly announced ODA cuts for 2025–2027. Notably, four of these donors—France, Germany, the United Kingdom, and the United States—provided almost two-thirds of total ODA over the past decade, with the United States alone contributing one quarter. Their ODA allocations are highly concentrated: from 2014 to 2023, half of their combined net bilateral ODA to Least Developed Countries (LDCs) went to just seven countries, including Yemen.

FIGURE 1.11 • Reserves Remained Below the One-Month Import Adequacy Threshold



Source: Central Bank of Yemen in Aden; ACAPS – YETI; and WB staff calculations.

FIGURE 1.12 • The Rial Stabilized in the Second Half of the Year



Source: ACAPS YETI.

constraints resulting from the FTO designation; and (iii) Houthi detentions of UN personnel and restrictions on humanitarian and development programs, which have further complicated aid delivery.

Remittances represent one of the most significant contributors to the Yemeni economy, shaping foreign exchange inflows and supporting household livelihoods. However, tracking their evolution has become increasingly difficult, as the CBY has discontinued remittance data production, leaving a critical gap in the available macroeconomic statistics. According to IMF data covering IRG-controlled areas, remittances are estimated to have increased from US$1.86 billion in 2024 to US$1.98 billion in 2025.[10] Given the scale of remittances relative to GDP, restoring reliable and timely data production should be a priority.

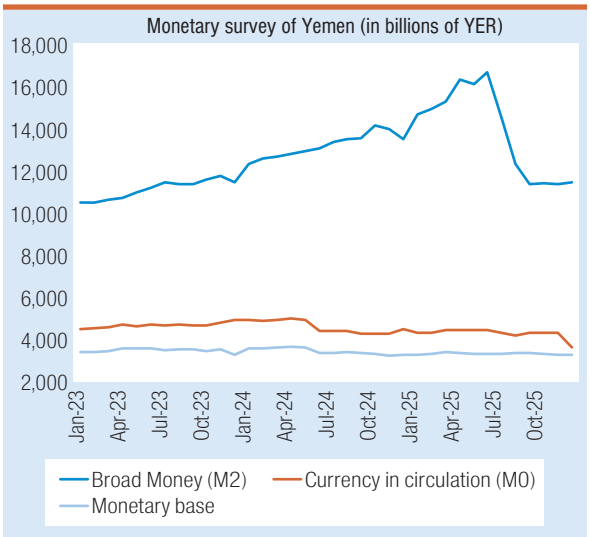
Overall, external imbalances narrowed but remained substantial. Yemen's current account deficit is estimated at 14.7% of GDP in 2025, down from 26.6% in 2024, driven primarily by import compression in Houthi-controlled areas rather than export-led improvement. Gross foreign exchange reserves recorded by CBY-Aden stood at approximately US$1.2 billion, covering roughly one month of imports (Figure 1.11). Without progress in resolving the export blockade and restoring international support, reserve depletion is likely to persist.

D. Monetary Policy and Inflation

Faced with rapidly depleting foreign exchange reserves and a sharp depreciation of the Yemeni rial, the IRG moved to implement a series of stabilization measures in late July 2025. In August 2025, the Yemeni rial in Aden appreciated sharply—from YER 2,905 per US$1 in mid-July to about YER 1,600 per US$1—and has since stabilized (Figure 1.12). This reflects measures by the Central Bank of Yemen (CBY) in Aden, including caps on foreign-currency access, a ban on using foreign currency in local transactions, and license revocations for exchange houses suspected of manipulation, as well as FX inflows, including Saudi budget support to finance public sector salaries and the release of US$45 million of CBY deposits. The National Committee for the Regulation and Financing of Imports (NCRFI) continued prioritizing FX for essential goods, while Saudi financial support announce-

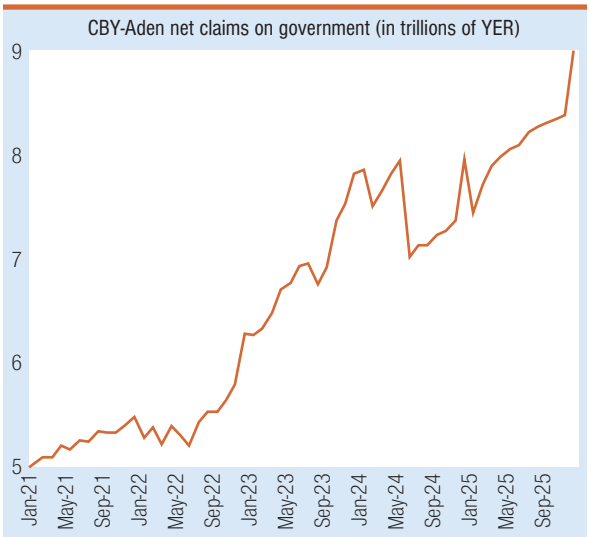
[10] IMF Yemen Article IV consultation, April 2026 (link).

FIGURE 1.13 • Broad Money Contracted in H2-2025



Source: CBY- Aden and WB staff calculations.

FIGURE 1.14 • Net Credit to Government Rose in 2025



Source: CBY- Aden and WB staff calculations.

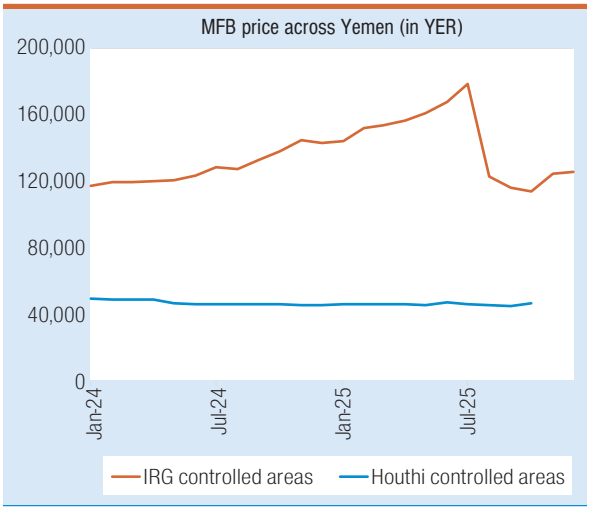
ments helped anchor confidence. Sustaining these gains will require adequate reserves and disciplined fiscal policy. For now, the underlying fundamentals—remittances, exports, and aid—remain fragile. In Houthi-controlled areas, the rial has been held near YER 535 per US$1 through constrained money supply, enforced official rates, and price controls.

Monetary developments in 2025 were shaped by CBY-Aden's mid-year exchange rate stabilization measures. Broad money (M2) expanded through the first half of the year, rising from YER 14,644 billion in January to a peak of YER 16,654 billion in June (Figure 1.13), while the monetary base remained broadly flat. The picture shifted in the second half of the year as the CBY-Aden moved to stabilize the Yemeni rial. M2 contracted by around 31% between June and December 2025, likely reflecting a combination of deliberate monetary tightening and valuation effects stemming from currency appreciation. Running against this tightening, net CBY-Aden claims on the government rose from YER 7,442 billion in January to YER 9,043 billion in December, with the bulk of the increase concentrated in December, possibly reflecting year-end fiscal pressures, and representing a key source of monetary risk going forward (Figure 1.14).

More broadly, the reach of monetary policy in Yemen is fundamentally constrained by the dominance of cash-based transactions and the weakness of banking intermediation. Banks have remained reluctant to extend financing to the government, citing unresolved concerns over debt repayment, which has sustained acute liquidity pressures across the system. The fragmentation of economic data between IRG and Houthi-controlled territories further hampers both the analysis and the conduct of monetary policy. Meanwhile, the pervasive reliance on informal financial channels makes it difficult to channel resources into the formal banking sector. Restoring confidence and laying the groundwork for economic recovery will require a sustained commitment on several fronts: maintaining exchange rate stability and keeping inflation in check through sound monetary policy; deepening coordination between the Central Bank of Yemen and commercial banks; strengthening data collection and analytical capacity; and gradually bringing informal financial activity within the purview of the formal system, alongside more effective liquidity management.

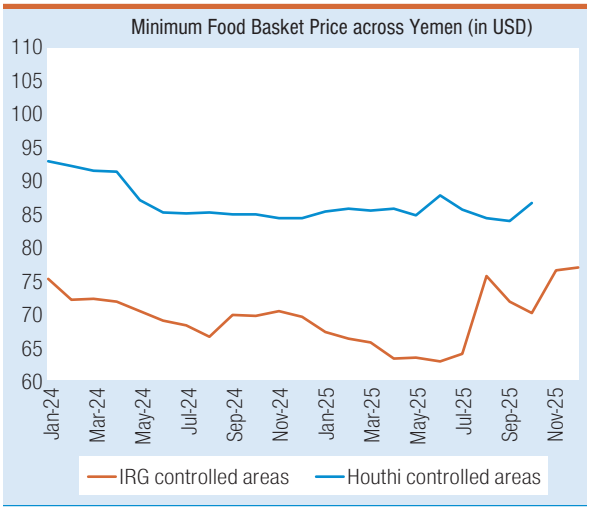
The cost of the Minimum Food Basket (MFB) in IRG-controlled areas fell sharply following CBY's foreign exchange intervention. By December 2025, the basket cost YER 125,638, down 12.3% year on

FIGURE 1.15 • The Cost of the MFB in IRG-Controlled Areas Fell Sharply after August 2025 Rial Appreciation



Source: FAO; ACAPS YETI; Telegram FX monitoring; and WB staff calculations.

FIGURE 1.16 • In USD, the Cost of the MFB in Houthi-Controlled Areas Remains Higher than in IRG



Source: FAO; ACAPS YETI; Telegram FX monitoring; and WB staff calculations.

year and 29.7% below the July 2025 peak of YER 178,591 (Figure 1.15). WFP monitoring data show that the share of households with inadequate food consumption in IRG-controlled areas declined from 70% in mid-2025 to 64% by end-2025, likely reflecting the reduction in MFB cost over the same period. The sustainability of these price reductions will depend on the IRG's ability to maintain currency stability and prevent supply disruptions. In Houthi-controlled areas, where the pre-2016 rial has remained trading around YER 535 per US$1, the basket cost has remained broadly stable in nominal terms at approximately YER 45,000, yet is on average 25% more expensive in USD terms (Figure 1.16).

TABLE 1.1 • Selected Economic Indicators (2020-2025)

	2020	2021	2022	2023	2024	2025
Real Sector						
Real GDP growth (annual percentage change)	-8.5	-1.0	1.5	-2.0	-1.5	-1.5
GDP per capita (nominal USD)	560	522	616	493	469	468
Money and Prices	(Annual percentage change, unless stated otherwise)					
Consumer Prices	21.7	31.5	29.8	0.9	33.9	20.0
Exchange rate (YER per USD, average)						
Aden	782	1,036	1,125	1,376	1,823	2,091
Sana'a	604	600	573	536	535	535
IRG's Finances[a]	(In percent of GDP)					
Total Revenues and grants	6.2	7.3	10.6	7.2	8.6	5.6
Total Expenditures	10.6	8.1	12.2	11	8.4	6.1
Overall Fiscal Balance	-4.5	-0.8	-1.6	-3.7	0.2	-0.5

(continued on next page)

TABLE 1.1 • Selected Economic Indicators (2020–2025) *(continued)*

	2020	2021	2022	2023	2024	2025
External sector			(In percent of GDP)			
Current Account Balance	–18.3	–9.9	–16.1	–20.4	–26.6	–14.7
Other memo items						
GDP nominal in USD (millions)	20,220	19,394	23,534	19,412	19,046	19,566
Gross Reserves in USD (millions)	970	1688	1,307	1,638	1,250	1,165

Source: Central Bank of Yemen Aden, Ministry of Finance, ACAPS YETI, REACH JMMI, and World Bank staff estimates

[a] Data for IRG-controlled areas only.

2

OUTLOOK AND RISKS[11]

A. Regional Developments

The regional economic outlook for the Middle East, North Africa, Afghanistan, and Pakistan (MENAAP) is once again being dominated by the conflict.[12] On February 28, 2026, a new conflict broke out in the Middle East involving the Islamic Republic of Iran, Israel, and the United States. As of early April, the conflict continues to unfold across the region, with uncertainty at elevated levels as its ripple effects spread through the global economy. Oil and natural gas markets have been particularly impacted by supply disruptions stemming from the effective blockade of the Strait of Hormuz, a critical chokepoint through which 20% of global oil supply and 25% of liquid natural gas supply pass.

Against this backdrop, the economic outlook of the region is highly uncertain and evolving rapidly. The coming weeks will be critical in determining the intensity and duration of the conflict, with consequences for economic prospects not only in the near term but potentially over the medium term as well. The wide dispersion in forecasts across private sector institutions highlights the exceptional uncertainty surrounding the outlook. Excluding the Islamic Republic of Iran, economic activity in the MENAAP region is projected to decelerate from 4.0% growth in 2025 to 1.8% for 2026, mainly reflecting a sharp slowdown in the GCC economies. By contrast, growth in economies furthest from the conflict is forecast to remain broadly steady, although oil importers are likely to experience a deterioration on the external position as well as increased fiscal pressures. The latest conflict is, however, only one of several sources of fragility in the region. Yemen and other fragile states—including Afghanistan, Syria, West Bank and Gaza—face a tenuous outlook as they grapple with their own crises and search for paths to recovery.

B. Potential Impacts of the Conflict in the Middle East on Yemen

a. Key transmission channels and implications

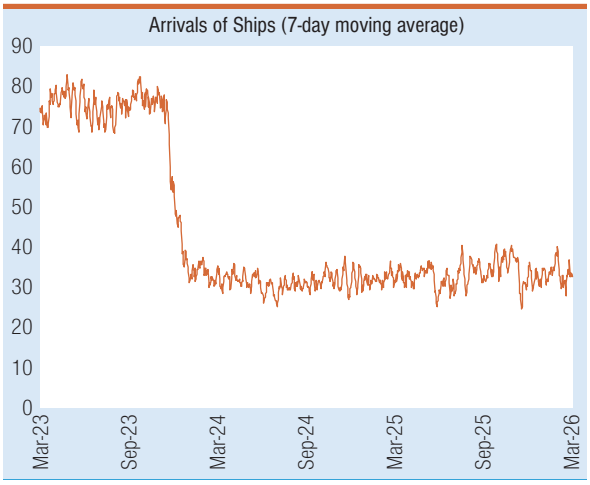
Yemen is particularly exposed to the ongoing conflict, with some effects already visible though

[11] This chapter covers developments through end-March 2026 and presents the outlook and risks for the rest of 2026.

[12] MENAAP Economic Update, April 2026: Challenges of conflict and industrial policy for development (link).

contained based on available data. As a net oil and food importer, it faces direct exposure to the supply disruptions and price pressures reverberating through international markets—risks that carry potentially serious consequences for an already fragile economy. A fuller picture will emerge as more data becomes available in the coming weeks.[13] The main transmission channels and potential implications identified so far include: a widening of the current account through multiple channels; deterioration of fiscal accounts, driven primarily by higher oil import prices; inflationary pressures, stemming from Yemen's vulnerability to commodity price volatility, with consequent erosion of household purchasing power; and security escalation, with risks to shipping, critical infrastructure, and peace prospects.

FIGURE 2.1 • Traffic through Bab El-Mandeb Has Not Declined Further since the Current Conflict Began



Source: IMF Port Watch.

i. Widening of the current account, through multiple channels

Shipping disruptions. The Strait of Hormuz has been effectively disrupted since March 1, with attacks on commercial vessels prompting shipping companies to suspend transit. Regional spillover effects are also being felt in the Red Sea, although shipping through the Suez Canal and the Bab-el-Mandeb Strait, to which Yemen is more directly exposed, has not yet registered a significant further decline (Figure 2.1). It is important to note, however, that the current baseline is already severely depressed, with container transits through the Suez Canal running 86 percent below 2023 levels by Q4-2025. The simultaneous disruption of both chokepoints is historically unprecedented, effectively eliminating viable routing for Gulf-origin goods destined for Yemen.

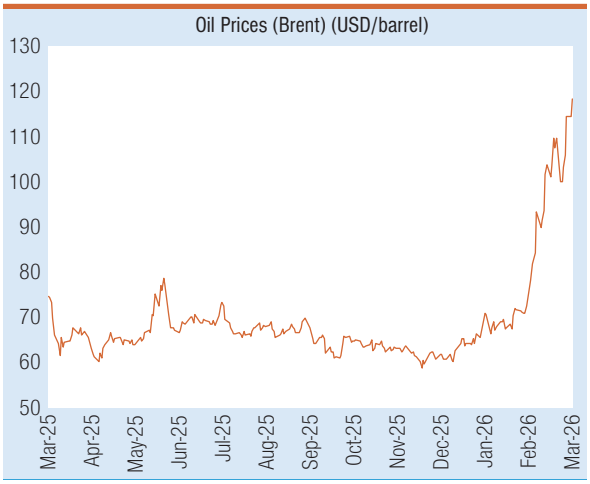
These disruptions have translated into sharply higher import costs across two channels. First, major carriers—including CMA CGM, Hapag-Lloyd, and MSC—have imposed cumulative emergency surcharges that reportedly double or triple per-container costs to Yemeni ports, on top of broader freight index increases of 10 to 18 percent globally and far steeper route-specific spikes. Second, war risk insurance premiums for Hormuz transit have surged four- to twenty-fold for standard vessels. Notably, the expansion of war risk zones to include Djibouti—a key transshipment point for Yemeni imports—means that even alternative routing carries elevated insurance costs, which are ultimately passed through to importers and consumers.

The combined effect on shipments to Yemen has been severe. As of early May, many shipments have failed to reach their destinations. Although cargo vessels have docked at regional hubs such as Jeddah, Dubai, Muscat, and Djibouti, the final leg of their journey to IRG-controlled ports remains effectively blocked.

Rising fuel and commodity prices weighing on the import bill. Brent crude surged to nearly US$120 per barrel in end-March (Figure 2.2), while fertilizer prices have also soared—urea prices rose by around 46% by mid-April, given that that one-third to nearly half of global urea exports transit the Strait of Hormuz. Beyond the direct impact on import costs, this carries a medium-term risk for domestic food production, given Yemen's dependence on imported agricultural inputs. Food prices have, however, remained relatively

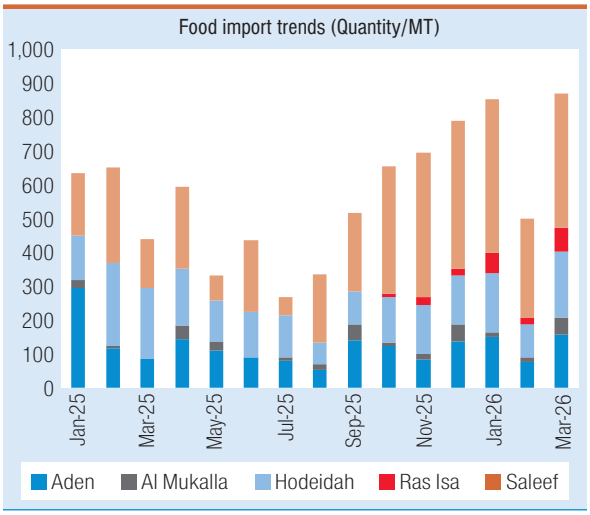
[13] Specifically, WFP's monthly Food Security Update for March, which measures household food insecurity and the cost of the minimum food basket, is expected to be released by the end of April 2026.

FIGURE 2.2 • Brent Crude Surged to Nearly USD 120 Per Barrel on International Markets



Source: Business Insider.

FIGURE 2.3 • Food Imports Remained Resilient in Early 2026

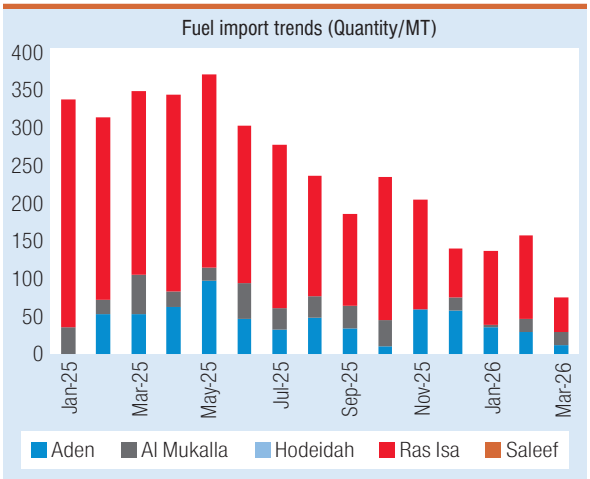


Source: YETI.

stable so far. With refined fuel products accounting for around 30% of total imports and food at close to 50%, these price pressures will translate directly into a higher import bill. Nominal imports are expected to rise following the shock, while import volumes are assumed to adjust only marginally, reflecting the low-price elasticity of essential goods. Relative to the baseline, the current account is projected to worsen by approximately one percentage point of GDP in 2026, driven by higher import costs and limited export growth. Trade data for March 2026 indicate that food imports have remained broadly resilient (Figure 2.3). Fuel imports, however, continued their declining trend, hitting a historic low in March (Figure 2.4), with declines recorded across both Aden (IRG-controlled) and Ras Isa (Houthi-controlled) ports, pointing to possible fiscal or foreign exchange constraints.[14] The consequences are tangible: reduced fuel availability has contributed to extended power outages, disrupted water pumping, and strained health services, with direct humanitarian consequences for the population.

Reduced remittances. While there is no evidence that remittances have been negatively affected so far, they represent a significant source of risk to the external accounts. Remittances are one of Yemen's primary sources of foreign exchange, with the bulk originating

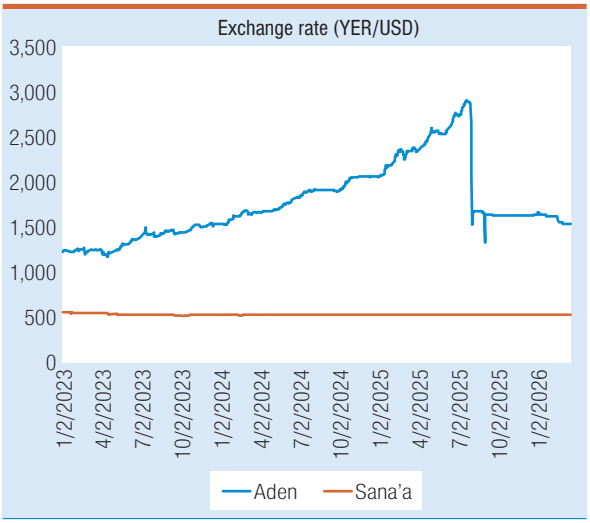
FIGURE 2.4 • Fuel Imports Hit a Low in March 2026



Source: YETI.

[14] A note of caution is warranted when interpreting the Ras Isa figures. Satellite data suggest that official statistics may underestimate actual fuel inflows into Houthi-controlled areas. This is partly attributable to the growing prevalence of dark vessels—ships calling at the port with their Automatic Identification Signals (AIS) transponders switched off—which are not captured in official import data. Some estimates suggest that actual fuel imports into Red Sea ports may be as much as 50% higher than officially reported. Additionally, Ras Isa has seen notable infrastructure development over the past few months.

FIGURE 2.5 • The Yemeni Rial Has Remained Relatively Stable on Both Aden and Sana'a Markets



Source: YETI.

from GCC economies. A prolonged conflict could disrupt these flows, particularly if instability across Gulf economies erodes the earnings and transfer capacity of the Yemeni diaspora. Saudi Arabia is by far the largest source, accounting for around 60% of remittances to Yemen, followed by the United Arab Emirates (18%), and Qatar and Kuwait (5% each).[15]

For now, the Yemeni rial has remained relatively stable, though depreciation risks remain. The Aden rial has even appreciated slightly since mid-February (Figure 2.5), underpinned by continued enforcement of CBY-Aden's exchange rate measures and buoyed by positive developments including the formation of a new IRG Cabinet and the announcement of Saudi budget support. However, risks of depreciation remain, which could add further upward pressure on prices and potentially trigger import compression with adverse consequences for food security.

ii. Deterioration of fiscal accounts, mainly through higher oil import prices

Higher international oil prices are expected to translate directly into higher public expenditure. Yemen imports significant quantities of fuel (primarily diesel) for power generation, at prices typically set at spot market rates, making the import bill highly sensitive to upward price volatility. This fuel is then supplied to power utilities at a heavily subsidized tariff, with cost recovery below 5%. Because the electricity price is fixed, the subsidy level moves with oil prices, meaning that any price spike is absorbed by the public budget rather than passed through to consumers. With mitigation options limited, Saudi fuel grants serve as the principal shock absorber. While the baseline assumption of the revised macroeconomic framework is that additional fiscal pressures will be driven solely by higher expenditure, risks also surround the revenue side, notably from the erosion of purchasing power and the resulting contraction in private consumption.

iii. Inflationary pressures, driven by Yemen's exposure to oil and food price volatility

Higher energy and food prices, compounded by international supply chain disruptions, are likely to intensify inflationary pressures. Given Yemen's heavy dependence on fuel imports, rising international prices feed directly into higher costs for transport, electricity generation, and food production, ultimately driving up the price of most goods and weighing on businesses and households. According to the 2024 Yemen Poverty Assessment, most households spend the majority of their budget on food (56%), a higher share than the weight assigned to food and non-alcoholic beverages in the Consumer Price Index (CPI) of other countries in the region. This food expenditure share does not vary significantly across consumption deciles, indicating that households throughout the income distribution allocate most of their budget to essential food items. Similarly, with around 80% of staple foods imported, Yemen remains highly exposed to rising fertilizer costs and the consequent increases in global food prices.

These pressures are already being felt in local markets across the country. According to Oxfam,

[15] "Yemen, the impact of remittances on Yemen's economy", ACAPS, October 2021 (link).

basic commodity prices are surging: the cost of bottled water rose 50 percent in April alone, from YER 200 to YER 300, while cooking oil and gas each increased by YER 1000.[16] The government has also recently raised fuel prices by 13.5 percent to align with surging global petroleum costs, further eroding household purchasing power. Against this backdrop, the cost of the Minimum Food Basket in IRG-controlled areas continued to decline in March 2026, falling 16.1% year-on-year—a trend that could nonetheless reverse as more recent data become available.

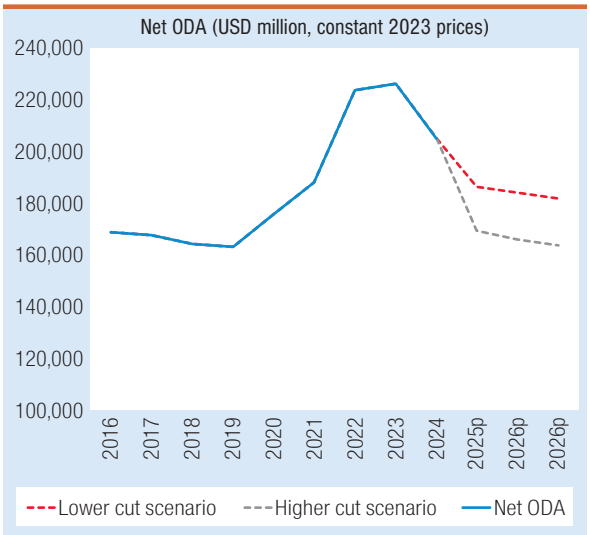
iv. Security escalation, with risks to shipping, critical infrastructure, and peace prospects

The Houthi movement entered the conflict directly on March 28, launching an attack on Israel. This marks a significant escalation with implications across multiple fronts. As demonstrated during the Red Sea escalation in 2024, the Houthis have the capacity to disrupt navigation through the Red Sea and the Bab al-Mandab—disruptions that would carry even greater consequences for Yemeni imports and global trade, particularly in oil and gas, in the context of the near-total closure of the Strait of Hormuz. Direct engagement also raises the risk of retaliatory strikes on critical infrastructure: Israeli attacks in 2025 already inflicted severe damage on Hodeidah port, and further strikes could compound these losses significantly. Lastly, Houthi involvement threatens to deepen tensions with the IRG and further delay an already fragile truce. The Yemeni government has condemned the Houthis' decision to enter the war, warning of serious repercussions.

b. Poverty and social impacts

Yemeni households are significantly exposed to rising global prices, and potential disruptions to supply chains. With a high share of essential goods sourced from abroad, households face immediate and direct exposure to import price shocks and supply disruptions. As of February 2026, 57% of households had inadequate food consumption, a level

FIGURE 2.6 • ODA is Expected to Decline Further in 2026



Source: OECD.

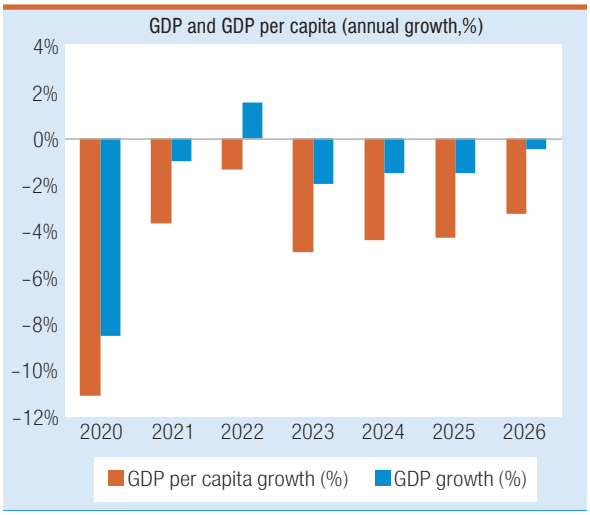
that, while reflecting some improvement from the all-time high recorded in June 2025, remains a serious concern. That improvement was driven by currency appreciation and a temporary increase in remittances and consumption over Ramadan and is likely to be reversed in the coming months.

Reduced remittances pose a further major risk. As the primary source of household income, accounting for around one quarter of GDP, any disruption to remittance flows would have a substantial impact on household welfare.

Aid flows, another critical lifeline, are also under strain. Funding under the 2026 UN HRP reached only US$298 million by end-March 2026, less than 15% of the US$2.16 billion required for the entire year, and ODA is expected to decline further over the course of the year (Figure 2.7). These projections are already insufficient to meet existing needs. A deterioration in security conditions could curtail aid flows further, compounding an already difficult situation. Oxfam reports that the conflict has already severely disrupted key humanitarian delivery routes, with over

[16] "Escalating Regional Conflict Impacts Supply Chains and Threatens Yemen's Aid Lifeline", Oxfam, April 2027 (link).

FIGURE 2.7 • Real GDP and GDP Per Capita are Expected to Continue Declining



Source: WB staff estimates.

150 tons of bulk cargo classified as lifesaving or dual-use—including heavy medical equipment, pharmaceuticals, and water infrastructure components—remaining stalled with no confirmed revised arrival dates. These delays have cut off critical relief to at least 130,000 beneficiaries, including over 72,000 women and 11,500 children.

These pressures risk deepening an already challenging humanitarian situation. Nearly 75% of the population lives below the poverty line, and many households have already resorted to destructive coping strategies, including selling assets, skipping meals, and, in extreme cases, child labor. Further economic deterioration threatens to push more communities into higher emergency phases of the Integrated Food Security Phase Classification (IPC). Current IPC projections indicate that over 18 million Yemenis are facing crisis-level hunger or worse (IPC Phase 3+) in the first half of 2026, while more than 5.5 million are in emergency conditions (Phase 4), and at least 41,000 are at risk of catastrophic, famine-like conditions (Phase 5). Compounding this picture, internal displacement resulting from the ongoing Yemeni conflict already stands at 14% of the population—a stark reminder of the severe and protracted human cost of the crisis, even before accounting for any spillover effects from the broader regional conflict.

c. Impact on the outlook

As a result of the conflict and the anticipated materialization of some of the impacts described above, growth projections for 2026 have been revised downward. Yemen's national real GDP is expected to contract by 0.5% in 2026 (Figure 2.7), compared to a flat growth projection before the conflict started.[17] The drag on growth operates primarily through household consumption, as rising inflation erodes purchasing power. On the external side, higher oil and food import costs are expected to widen the current account deficit by around one percentage point of GDP. Yet, the rial is projected to stabilize, reflecting administrative interventions and Saudi support. On the fiscal side, increased electricity subsidies, driven by rising fuel prices, are only partially offset by higher customs revenues and greater hydrocarbon receipts from domestically produced oil. The resulting wider fiscal deficit is expected to be financed through central bank overdraft facilities, heightening monetization-related risks (including inflationary pressures).

d. Risks to the outlook

Downside risks are elevated. A full materialization of the risks identified above, particularly large-scale Houthi involvement triggering retaliatory strikes on critical infrastructure, a sustained surge in oil prices, or a sharp depreciation of the rial, could push the economy into a more severe contraction than currently projected, with inflation, import compression, and eroding remittance and aid flows, placing strain on the coping capacity of Yemeni households. Domestic frictions could deepen monetary and financial fragmentation. Humanitarian operations are unlikely to return to previous levels given funding shortfalls and operational constraints in Houthi-controlled areas, heightening the likelihood that poverty and vulnerability remain widespread absent deescalation.

Beyond the direct economic channels described above, a prolonged or widening conflict carries

[17] Yemen Macro Poverty Outlook, Fall 2025 (link).

broader systemic risks. Deteriorating security conditions could deter the external financing and donor engagement on which Yemen's fiscal position significantly depends, while making humanitarian operations increasingly difficult to sustain. Any further delay to the peace process—with oil exports remaining halted—would not only prolong economic hardship but also risk entrenching structural challenges that predate the current conflict.

Even so, the new IRG Cabinet's reform commitments in early 2026 offer a window of opportunity. However, sustained progress will require concrete follow-through and sustained donor support. If the new cabinet prioritizes development and macroeconomic stabilization, livelihoods and living conditions could improve. Ultimately, the country's prospects hinge on progress toward national peace, reconstruction, and institutional reforms to restore confidence and reignite growth.

C. Policy Response by the Government

While the IRG has not yet announced specific measures to address the immediate impacts of the conflict, it recently approved a 2026 Program setting out a comprehensive, time-bound reform agenda aimed at supporting economic stabilization and protecting livelihoods. The program emphasizes interventions that maximize cross-sectoral benefits and can be implemented within existing legal and political frameworks. It is anchored in six strategic priorities: (i) consolidating political and security stability while extending state sovereignty; (ii) achieving economic, financial, and monetary recovery; (iii) ensuring the sustainability of and equitable access to essential services; (iv) strengthening governance, local administration, the rule of law, and digital transformation; (v) enhancing social resilience and empowering human capital; and (vi) maintaining effective international partnerships through proactive development diplomacy. Together, these priorities seek to stimulate growth, diversify income sources, restore fiscal and monetary balances, improve public resource management, and create jobs. However, while the government presents this approach as a clear departure from past efforts, its effectiveness will depend on implementation in a complex and challenging environment.

At the same time, the Cabinet has approved the 2026 state budget, which aims to maintain a prudent fiscal stance in the face of severe revenue constraints. The budget prioritizes essential spending—particularly public sector salaries (29% of total expenditure), subsidies and social benefits (28%), and expenditure on goods and services (17%)—which together account for nearly three quarters of total expenditure. This fiscal plan is bolstered by a 1.3 billion Saudi riyal grant announced in late February, specifically earmarked for public sector salaries, a critical lifeline that reduces the immediate pressure to monetize the deficit. However, the budget's viability remains sensitive to external shocks. With oil exports halted and customs revenues vulnerable to regional insecurity and fragmented control over ports and crossings, the government's ability to adhere to this prudent fiscal stance depends significantly on the sustained delivery of external grants.

D. Policy Recommendations

a. Short-term policy options to mitigate the impact of the crisis

Yemen's options for mitigating the impact of the crisis remain constrained but not absent. With oil exports halted and the fiscal deficit already being financed through central bank overdrafts, the IRG has limited fiscal space to absorb the additional shock. Nonetheless, several actions could help contain the damage:

- Exchange rate. Preserving the gains achieved through exchange rate stabilization stands as the most urgent near-term priority. This will critically depend on maintaining strict exchange house regulation and sustaining engagement with Gulf partners to secure continued external

inflows. Under normal circumstances, exchange rate depreciation can serve as a useful shock absorber. In Yemen's case, however, any depreciation would rapidly translate into broader price and humanitarian pressures, given the country's reliance on imports for food and other essentials, while the potential gains from improved export competitiveness would remain limited, given the halt on oil exports and the narrow non-oil export base. A note of caution is nonetheless warranted: with foreign reserves estimated at less than one month of import cover, the government should avoid defending the exchange rate unless backed by meaningful partner support.

- Food security. Priority actions should include maintaining available commercial food stocks and ensuring their continued replenishment in coordination with the private sector, implementing fast-track clearance at seaports and border points, extending port and customs operating hours, and prioritizing key freight corridors. Vessel access, cargo handling, and transport worker movement should remain unimpeded, avoiding measures that could fragment markets or deter carriers from serving critical routes. Strengthening market surveillance and price monitoring would complement these efforts, providing the authorities with timely information to detect and respond to emerging supply disruptions. Closely monitoring Red Sea and Bab el-Mandeb navigation developments—and their impact on shipping routes and insurance costs—is also advisable given Yemen's import dependence.

- Fiscal management and subsidies. The authorities should continue to direct spending toward critical government operations and enhance revenue collection efficiency. While the growing fuel subsidy bill poses a fiscal risk, any rationalization without a concurrent strengthening of social protection could, in the current environment, risk driving up energy and transport costs, leaving the authorities with limited room to maneuver for now. That said, if fiscal costs continue to rise and remain elevated, more pass-through to consumer prices may become unavoidable. Preparing fuel price scenarios in advance would help the authorities anticipate and manage the implications of such adjustments. In the interim, demand management measures, including fuel prioritization for essential services such as hospitals and water pumping, could help contain the impact of declining fuel imports, which have already reached historic lows.

- Oil revenues. The current international environment—characterized by disrupted global energy supply and rising Brent prices—presents a timely opportunity to advance efforts to resume oil exports. The effective closure of the Strait of Hormuz—through which approximately 20 million barrels of oil pass daily—has created both strong need for new supply sources and elevated prices that would maximize Yemen's revenue per barrel.

- Social protection. Cash transfers delivered through existing social protection systems, remain the most direct instrument for shielding households facing severe food insecurity from further erosion of purchasing power. However, while the severity of the inflation shock would ideally call for emergency cash transfers, limited funding makes a rapid scale-up of social protection deeply challenging.

- Diplomatic engagement. Ultimately, in a context of daunting challenges to domestic resource mobilization and declining aid financing, the most impactful response available to the IRG is diplomatic: proactively engaging international partners and Gulf donors to secure additional budget support and prevent any further reduction in humanitarian financing.

Medium-term policy options

Looking beyond the near-term, the authorities should sustain efforts to preserve macroeconomic stability, with a focus on containing inflation, mobilizing domestic revenue, and directing

spending toward priority needs. On the revenue side, this includes implementing high-yield measures, such as customs valuation at the market exchange rate, ensuring timely revenue remittances from governorates, and strengthening public financial management. On the expenditure side, the authorities should work toward a more strategic allocation of public resources by consistently prioritizing critical government operations, including the timely payment of public sector salaries, while safeguarding social spending and gradually rationalizing electricity subsidies as part of a broader medium-term fiscal consolidation effort.

Building resilience against future shocks will also require investment in structural buffers. Priority measures include establishing strategic food reserves and developing an early warning system for food and commodity price volatility. In parallel, channeling diaspora remittances through formal banking channels remains an underutilized opportunity to broaden the domestic resource base. Looking further ahead, the crisis also highlights the longer-term case for deeper regional integration—including new port infrastructure and energy connections—as a structural buffer against external vulnerabilities.



THE WORLD BANK
1818 H Street, NW
Washington, DC 20433